

Illustration by SIDDHANT JUMDE

UNCHANGED RATES

The finance ministry continued the same interest rates applicable on small savings schemes for the quarter July–September 2022. The move comes at a time when interest rates are on the rise and so is inflation. Since 2020-21, the small savings interest rates have not been revised, with PPF and NSC continuing to draw an annual interest rate of 7.1 per cent and 6.8 per cent, respectively. For small savers, the same interest rate helps in continuity in the way they have invested in these schemes and provides them predictability in the way their savings would grow in these schemes.

EFFECTIVE INTEREST RATES

Savings	4%
1-3 year term deposit	5.5%
5 year term deposit	6.7%
NSC	6.8%
POMIS	6.6%
PPF	7.1%
SCSS	7.4%
Sukanya Samridhi	7.6%

Rates for July–September 2022

got cancelled for any reason by the investor. In most cases, the insurance would kick in immediately after signing up for an SIP. The standard exclusion is suicide in the first year of SIP, and the costs towards providing the life insurance were borne by the AMCs. The AMC was not underwriting the risk associated with the insurance on its own, which meant that it was not in any way getting into a breach of regulations.

In the case of unit-linked insurance schemes from LICMF and UTI, fresh subscriptions are on hold, even as both AMCs wait for clarity from SEBI on the schemes they are running as they were approved by the government of India. As for the mutual funds bundled with SIPs, it's a good innovative option for investors as the risk cover is taken care of. Also, as investors didn't have to pay any additional money towards the insurance, it did not impact the money invested. So, while existing investors who opted for the mutual fund plus insurance option continue to be insured, the facility will not be available for new investors.

FLEXIBILITY FOR INSURERS

Insurance regulator IRDAI has allowed life insurers to follow a 'use and file' norm after allowing health insurers a similar option. What this means is that insurers can now launch a new policy in the market and apply for approval within a certain time frame later. Life insurers can introduce new products in individual term policies, ULIPs, group term and riders including term, accidental death, disability, critical illness and terminal illness. Insurers now have the flexibility to launch customised and innovative products and fix up its premium price.

The circular from the regulator expects this move to enable life insurers to launch products in a timely manner, according to the dynamic needs of the market. This is a way to expand the choice for prospective policyholders, but the policies they can launch are ones that are not individual savings linked or in the realm of pensions and annuity.

So what more innovations can one see in the life and health insurance space? Well, it can encourage insurers to launch policies that are simple and straightforward for policyholders to understand with clearly detailed policy benefits. Prospective policyholders should make it a point to carefully read the benefits offered in such schemes, lest they take a policy that costs less but also provides for very limited or narrow insurance cover. For instance, an accident death benefit policy available only in case of accidents on a national holiday would have a very limited scope. ■